

Question 1 (20 marks)

A. The following are the Bank Statement and Cash Book of Embun Suci Co.

BANK STATEMENT

Date	Details	Cheque Number	Dt. (RM)	Kt. (RM)	Balance(RM)
2019					
July 1	Balance b/f				2 840
3	Khair	10008	140		2 700
5	Emma	10011	160		2 540
7	Suraya			244	2 784
15	Dividend			150	2 934
16	Allison	10013	150		2 784
20	Sonia			114	2 898
24	Rudy	10014	640		2 258
26	Book Cheque		15		2 243
29	Wei wei			34	2 277
31	Bank Charges		10		2 267

CASH BOOK (bank column)

Date	Details	Debit (RM)	2013	Details	No. cek	Credit (RM)
July 1	Balance b/f	2 700	Mac 4	Emma	10011	160
14	Suraya	244	10	Allison	10013	105
23	Sonia	114	19	Rudy	10014	640
29	Wei wei	34	27	Ella	10015	88
30	Zahra	158	29	Cemp	10016	56
			31	Balance c/f		2 201
		3 250				3 250

Additional information:

1. A cheque (No. 10013) is wrongly recorded in the Cash Book
2. Cheque received from Zahra had been dishonoured.

REQUIRED :

- a. Prepare a Bank reconciliation Statement as at 31st July 2019 (6 marks)
- b. Prepare the adjustment journal (5 marks)

- B) Sinar Sdn. Bhd. reported the following information on its balance sheet:

Balances in accounts receivable	RM 40,000
Allowance for Doubtful Accounts	RM 3,200

Transactions throughout 2017 are as follows:

- Jan 18 Written off balance of the outstanding Dol Company of
RM8 500
- May 1 Sales RM15 000 where RM5 000 in cash and the rest on credit
- Jun 30 Receive cash from debtor RM12 000
- Dec 31 Allowance for doubtful debts is estimated at 5% on receivable
balance

INSTRUCTIONS:

- i. Prepare the journal entry to record transactions occurred
(3.5 marks)
- ii. Determine the balances in Accounts Receivable and Allowance for
Doubtful Accounts at December 31, 2017 by using T accounts.
(4.5 marks)
- iii. Prepare the journal entry to record bad debt expenses
(1 marks)

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QUESTION 2 (20 marks)

Record Perniagaan Amanah (PA) shows the initial balance of inventory of 1,000 units at a price of RM2.20 per unit. Sales and purchase transactions for February 2012 are as follows:

Date	Particulars	Unit	Price per unit (RM)
Februari 5	Sales	750	4.00
9	Purchase	5,000	2.50
12	Sales	4,000	4.00
16	Purchase	7,500	2.60
24	Purchase	3,250	2.70
28	Sales	11,000	4.00

All transactions are in cash and PA adopts periodic inventory system.

REQUIRED:

i. Calculate the value of the ending inventory on February 29, 2012, cost of good sold and gross profit by using:

- a. First In First Out (FIFO) method
- b. Weight Average Method (10 marks)

ii. Prepare a journal for 12 Feb and 16 Feb using FIFO method under perpetual system.

(10 marks)

QUESTION 3 (20 marks)

On January 1, 2018, Geng Enterprise has an equipment at cost RM135,620 and RM81,374 accumulated depreciation.

In 2018, Geng Enterprise purchase new equipment at a cost of RM47,800 by selling old equipment (original cost RM36,000 and accumulated depreciation RM28,224) at fair value (trade-in allowances) RM5,700.

Equipment is depreciated at 40% using the reducing -balance method. Depreciation will be charged on all equipment used at the end of the financial year and depreciation on assets disposed will not be charged in the year of disposal.

Geng Enterprise financial year ended on December 31, 2018.

REQUIRED :

- i) Show the calculations and provide the journal entries to record the purchase of new equipment and the sale of old equipment. What is the profit or loss of the trade in.

(5 marks)

- ii) Calculate the equipment depreciation expense and journal entries to record depreciation expense in 2018.

(4 marks)

- iii) Prepare non current asset section in Statement of Financial Position at 31 Dec 2018

(5 marks)

- B. On June 1, 2018, Perniagaan Rerama borrowed RM150,000 from Bank BVC by signing a 10% note payable payable for a period of 10 months.

- i. Prepare journal entry on May 1 2018.
- ii. Prepare journal entry on Dec 31 2018
- iii. Prepare journal entry at maturity date at 31 Mac 2019.

(6 marks)

(2)

(3)